

Cross-Currency Basis 2H26 Outlook

Tight ranges with selective modest widening bias

- DM cross-currency bases have remained range-bound despite Middle East-driven volatility, with the first PCA factor — explaining 82-93% of total variance across the curve — continuing to highlight global macro forces (central bank policy, balance sheet dynamics and risk sentiment) as the dominant drivers of broad DM basis moves.
- From a top-down perspective, we expect bases to remain in tight ranges albeit with a modest widening bias driven by idiosyncratic factors.
- The Fed announced a reduction to its RMP in the next period. We expect the Fed's balance sheet to increase to around \$6.8bn in 2026 and reserves to remain above \$3bn.
- In EUR/USD, we have a modest widening bias in the intermediate sector — rates repricing, elevated Reverse Yankee supply and risk-sentiment provide asymmetric upside to basis widener.
- We stay neutral on front-end GBP/USD cross-currency basis with 1Yx1Y SONIA/SOFR basis valuations fair on a relative basis.
- In USD/JPY, x-ccy basis is likely to stay stable over the short term. However, over the medium term, increased USD funding demand from US-Japan investment projects could put widening pressure on the basis, especially in the mid-to-long term sector.
- The AUD/USD cross-currency basis curve has flattened on tighter AUD/USD FX-OIS, despite recent increases in excess reserves. FX-hedged USD CP spreads are at unattractive levels for issuance, so AUD banks may be raising precautionary liquidity given the risks of disruption from the Middle East. We expect a weaker mortgage market and still-adequate liquidity to steepen the broader curve over time.

Rates Strategy

Francis Diamond ^{AC}

(44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc

Khagendra Gupta

(44-20) 7134-0486
khagendra.x.gupta@jpmorgan.com
J.P. Morgan Securities plc

Takafumi Yamawaki

(81-3) 6736-1748
takafumi.yamawaki@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.

Ipek Ozil

(1-212) 834-2305
ipek.ozil@jpmorgan.com
J.P. Morgan Securities LLC

Ben K Jarman

(61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited

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Cross currency basis 2H26 Outlook

Tight ranges with selective modest widening bias

Front-end DM cross-currency bases have, on balance, remained well-contained within reasonably tight ranges across the curve despite episodic volatility stemming from the ongoing Middle-East conflict (**Figure 1**). That said, a closer examination of recent price action reveals a degree of cross-currency divergence that warrants attention. The JPY/USD basis has narrowed —(i.e become less negative) more sharply than other currency pairs in the aftermath of the Ministry of Finance's FX intervention, reflecting the idiosyncratic nature of the move. Meanwhile, the relative underperformance of 1Yx1Y SONIA yields versus €STR has been a contributing factor to the widening (i.e more negative) of GBP/USD bases relative to EUR/USD over the past few weeks (**Figure 2**). These divergences serve as a reminder that, while global factors dominate the broad direction of DM bases, pair-specific dynamics can at times drive meaningful relative value opportunities.

Figure 1: Front-end DM cross currency bases have recently exhibited some volatility but overall remained in relatively tight ranges

1Y (top table) and 5Y (bottom table) EUR/USD, JPY/USD, GBP/USD, AUD/USD, CHF/USD and SEK/USD RFR cross currency basis versus SOFR and statistics since 23rd January 2026; bp

1Y	Since last publication (23-Jan)					
	Current	23 Jan 26	Change	Min	Max	Average
EUR	-1	1	-3	-9	2	-2
JPY	-20	-23	2	-32	-20	-24
GBP	3	9	-6	1	8	4
AUD	2	1	1	-1	2	0
CHF	-16	-12	-3	-20	-13	-16
SEK	15	18	-3	1	23	16

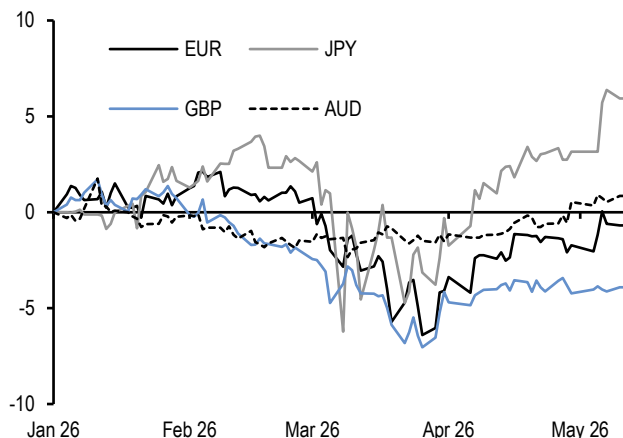
5Y	Since last publication (23-Jan)					
	Current	23 Jan 26	Change	Min	Max	Average
EUR	-3	-1	-2	-8	0	-3
JPY	-32	-35	3	-43	-32	-36
GBP	1	5	-4	-2	6	2
AUD	3	3	0	2	4	3
CHF	-14	-14	0	-19	-13	-15
SEK	11	15	-3	8	14	12

Source: J.P. Morgan

In order to identify and monitor the common drivers of DM cross-currency basis dynamics, we conduct a Principal Component Analysis (PCA) of 1Y and 5Y cross-currency bases across major currency pairs. Our analytical focus centers on the first principal component — the factor that captures the largest share of total variance — and on the market variables most closely correlated with it. This framework enables us to strip out pair-specific noise and instead focus on the medium-term macro drivers that matter most, from a top-down perspective: risk aversion, flight-to-quality dynamics, and monetary policy divergence across DM central banks.

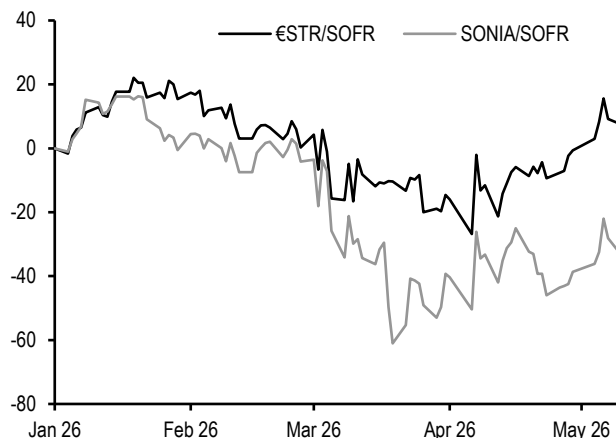
Figure 2: However, there have been some decent relative moves between various DM cross-currency bases; JPY/USD bases have narrowed the most and potentially driven by the MoF FX intervention

Cumulative change in various 1Yx1Y RFR bases (EUR/USD, GBP/USD, JPY/USD, and AUD/USD); since 1st January 2026; bp



Source: J.P. Morgan.

Cumulative change in 1Yx1Y €STR/SOFR and SONIA/SOFR yield differential; since 1 Jan 2026; bp



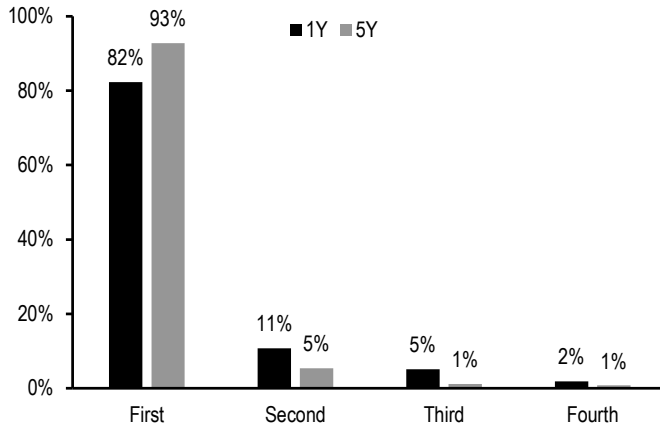
Source: J.P. Morgan.

The results of our latest PCA are instructive. In line with our prior publications, the first factor — which we characterise as a global level factor — continues to dominate, explaining 82% and 93% of total variance at the 1Y and 5Y tenors, respectively (**Figure 3**). This finding reinforces our long-held view that broad DM basis dynamics are primarily a function of global macro forces i.e., central bank policy and balance sheet divergences in particular, rather than idiosyncratic, pair-specific developments.

Of particular note, the recent evolution of the first PCA factor has tracked Middle-East geopolitical uncertainty closely, which we capture through the move in Brent crude oil futures. In the early stages of the conflict, Brent prices and DM cross-currency bases moved in tandem reflecting a dynamic of central bank policy repricing and worsening risk sentiment. More recently, however, as oil prices have stabilised in a range at current elevated levels, this co-movement has faded (**Figure 4**), suggesting that the geopolitical risk premium embedded in bases may be in the process of being partially unwound.

Figure 3: The 1st PCA factor explains a significant proportion of the total variance of the cross-currency curve...

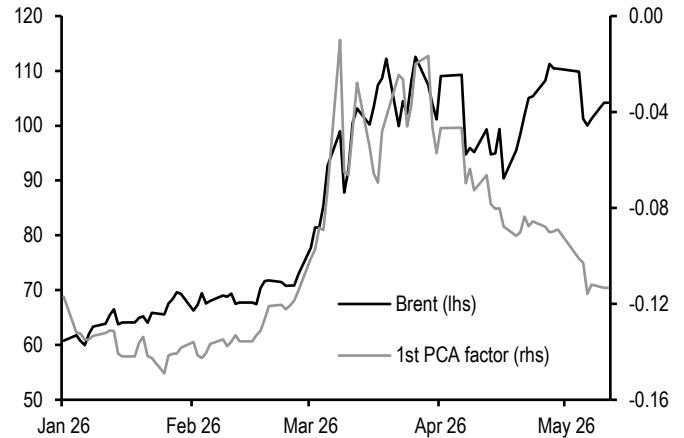
% variance explained by the various principal components conducted on 1Y and 5Y RFR/ SOFR bases; since 1 Jan 2024; %



Source: J.P. Morgan.

Figure 4: ...and has itself been driven by shifting risk sentiment around the ongoing Middle-East conflict, although this relationship has weakened as oil prices have stabilized around higher levels

1st PCA factor (on 1Y point) versus Brent oil prices (lhs, \$/bbl); since 1 Jan 2026

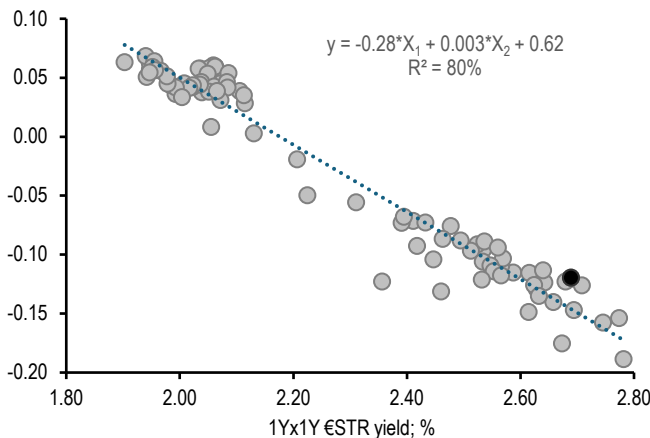


Source: J.P. Morgan.

Notwithstanding the relative stabilisation in oil, DM money market yields and curve slopes have continued to exhibit notable volatility and these variables retain significant explanatory power for the first PCA factor (**Figure 5**). We use 1Yx1Y €STR yield as our primary proxy for global DM front-end rates, and the average slope of money market curves across major DM markets. Against this backdrop, DM cross-currency bases screen as broadly fair value in our short-term model. This finding reaffirms our core thesis that relative central bank policy expectations constitute the fundamental anchor for front-end DM cross-currency bases.

Figure 5: The 1st PCA factor can be well explained by money market yields and slope of the curve

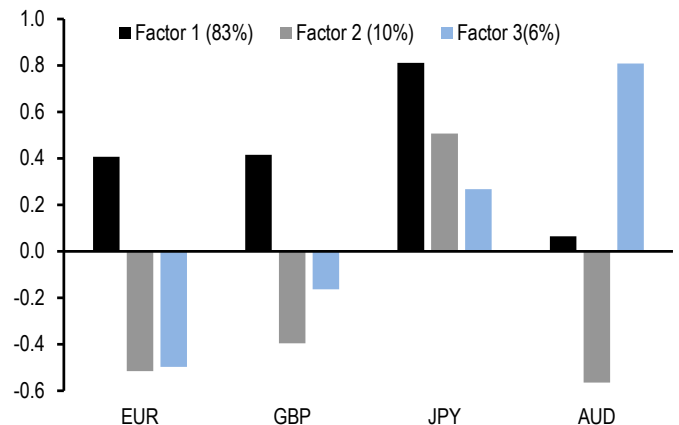
Regression between the 1st PCA factor of 1Y RFR bases versus 1) 1Yx1Y €STR yield (X_1) and 2) Average slope of the 1M/2Yx1M RFR curve across EUR, GBP, and JPY markets (X_2); since 1 Jan 2026;



Source: J.P. Morgan.

Figure 6: While common drivers are at play across jurisdictions (first factor), relative monetary policy (second factor) and idiosyncratic domestic (third factor) divergences have also been significant recently

1st, 2nd, and 3rd factor loading from PCA analysis of 1Y EUR, GBP, JPY, and AUD RFR vs SOFR; since 1st Jan 2024;



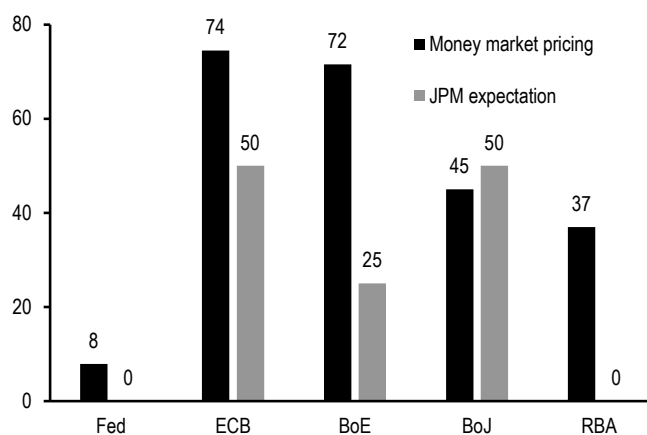
Source: J.P. Morgan.

The PCA also reveals meaningful dispersion at the cross-jurisdictional level, as reflected in the second and third principal components, which we associate with relative monetary policy dynamics and idiosyncratic domestic factors such as cross-border issuance flows, respectively (**Figure 6**). While relative monetary policy emerges as a statistically significant driver within the PCA framework, we note that the prevailing low-volatility environment has compressed the beta of front-end basis changes to shifts in monetary policy expectations to a low level — a dynamic we do not expect to change materially in the near term.

Looking ahead, we expect the broad direction of DM cross-currency bases to remain anchored to evolving expectations around DM central bank policy both in terms of rate trajectories and balance sheet dynamics and geopolitics/risk-sentiment. In **Figure 7**, we set out our baseline forecasts for key central banks by end-2026 alongside prevailing market pricing. At the time of writing, however, with the Strait of Hormuz effectively closed and oil prices remaining elevated, we see limited scope for a material repricing of DM central bank tightening expectations from current levels. In this environment, we expect cumulative policy pricing across DM to remain broadly range-bound, with tactical shifts around this range imparting commensurate — though muted — volatility on DM cross-currency bases over the coming weeks.

Figure 7: We believe that money market yields are now pricing cumulative hikes which are towards the upper end of our expectation and any retracement of this could exert modest widening pressure on DM bases

Cumulative hikes priced by end-2026 versus J.P.Morgan baseline forecast for various central banks; bp



Source: J.P. Morgan.

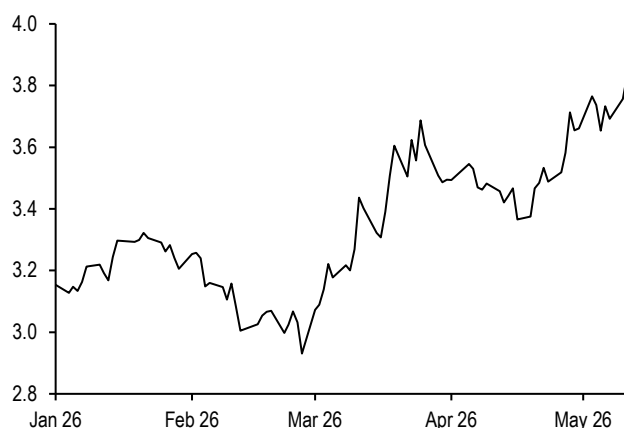
Taking stock of the above, our top-down view is for a modest widening bias for DM cross-currency bases. Across most DM central banks — the Fed being the key exception — the magnitude of rate hikes currently priced appears to be towards the upper end of our expected range; any retracement in this pricing would be supportive of wider bases. Partially counterbalancing this, the Fed's ongoing T-bill purchase programme — set against a backdrop of QT being conducted by the ECB, BoJ, and BoE at varying pace — provides a structural narrowing impulse. Given the low betas of these variables to the basis, however, we expect the net effect to be modest, with DM bases remaining broadly range-bound. The sections that follow examine these dynamics in greater detail, alongside the idiosyncratic drivers specific to each currency pair.

USD

The Middle East conflict has roiled markets and shifted Fed expectations significantly. Prior to the start of the conflict, market participants expected that the Fed's next move would be a cut, and markets priced in two to three cuts in 2026. When the conflict began at the end of February, stoking inflation concerns due to elevated oil prices, markets abruptly repriced hawkishly. Relative to immediately before the conflict started, 1Yx1Y OIS rates have increased by about 90bp (**Figure 1**), and implied distributions from options on SOFR futures have dramatically shifted to the right (**Figure 2**). These elevated inflation concerns come alongside relatively strong labor data, with April payrolls delivering a second consecutive month of job gains in excess of 100K ([US Weekly Prospects](#), M. Feroli, 5/8/2026). With the labor market finding footing and April inflation coming in firm (headline CPI rose 0.64%, and core rose 0.38%; [US: Core CPI, at 2.8%oia, remained firm in April](#), A. Reinhart, 5/12/2026), our economists continue to look for the Fed to remain on hold through the remainder of the year. The implied distribution inferred from options on December SOFR futures shows that through year end, the modal outcome is a Fed on hold, a hike is considered almost as likely, and a cut is roughly half as likely as on hold or a hike (**Figure 2**).

Figure 1: The 1Yx1Y OIS rate has repriced hawkishly since the beginning of the Middle East conflict

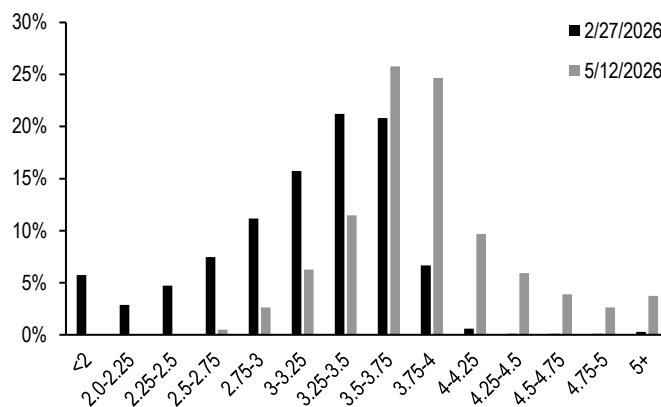
1Yx1Y OIS rate, 1/1/2026-current; %



Source: J.P. Morgan

Figure 2: Since the start of the Middle East conflict, the implied distribution from options on SOFR futures has dramatically shifted to the right; a Fed on hold through YE is the model outcome, with one hike considered almost as likely

Probabilities of different fed funds outcomes for Dec '26 calculated from the risk-neutral probability density function* inferred from Z6 3M SOFR futures options, 2/27 (pre-conflict) and 5/12



* We compute call premiums for a broad range of strikes and apply the Breeden-Litzenberger method to infer the risk-neutral probability density function. We then use this to compute the market-implied probabilities of different Fed outcomes. See [Interest Rate Derivatives 2026 Outlook](#), 11/25/2025 for full details

Source: J.P. Morgan

On Wednesday, the Fed announced changes to its RMP schedule, stating that it plans to conduct around \$10bn in RMPs in the next period, representing a significant decrease from \$25bn last cycle. We now assume that RMPs will continue at a pace of \$10bn per month through mid-September and then step down to zero thereafter. **Figure 3** shows our updated forecast for the Fed's balance sheet, which reflects our revised outlook for RMPs. We expect the Fed's balance sheet to increase to around \$6.8tn in 2026 and reserves to remain above \$3tn.

Figure 3: We expect the Fed balance sheet to increase to around \$6.8tn and reserves to remain above \$3tn through year end

Current* and projected total Fed balance sheet assets, RRP†, TGA, reserves, currency in circulation, and commercial bank deposits** through YE 2026; \$bn

End-of-the-month	Fed Assets	RRP			TGA	Reserves	CIC	Commercial Bank Deposits
		O/N RRP	Foreign RRP	Total RRP				
Current	6,754	2	321	323	878	3,024	2,456	18,102
May-26	6,759	5	320	325	750	3,148	2,463	18,261
Jun-26	6,769	5	320	325	900	3,001	2,470	18,204
Jul-26	6,779	5	320	325	850	3,054	2,477	18,306
Aug-26	6,789	5	320	325	850	3,057	2,484	18,368
Sep-26	6,794	5	320	325	850	3,055	2,491	18,427
Oct-26	6,794	5	320	325	850	3,048	2,498	18,481
Nov-26	6,794	5	320	325	850	3,041	2,505	18,536
Dec-26	6,794	5	320	325	850	3,034	2,512	18,590
Jan-27	6,794	5	320	325	850	3,027	2,519	18,644

* Current as of 5/7/2026 Fed H.4 release

** Deposits as of 5/8/2026 Fed H.8 release

† Both ON and Foreign RRP are assumed to remain near current levels. O/N RRP is calculated as the difference between total RRP and foreign RRP

Source: J.P. Morgan, FRED, Federal Reserve H.4.1, Federal Reserve H.8

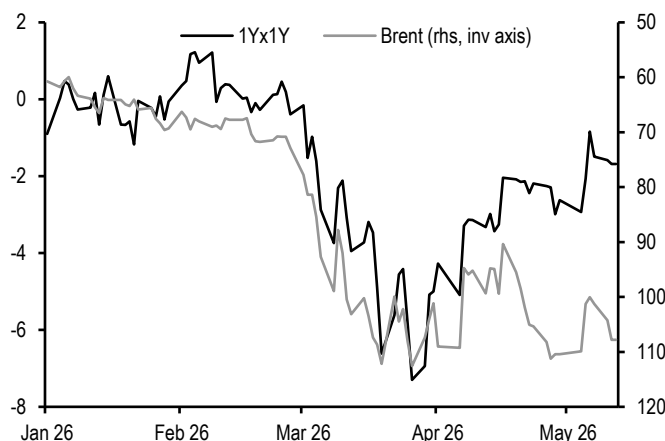
EUR/USD

Widening bias in intermediate sector on Reverse-yankee tailwinds

€STR/SOFR bases have traded within a 6–8bp range across the curve over the past few months, with the ongoing Middle East conflict serving as the primary driver of basis volatility (**Figure 1**). During the early stages of the crisis, the €STR/SOFR basis exhibited a strong positive relationship with Brent crude oil prices; however, this correlation has moderated over recent sessions as oil prices appear to be stabilising — albeit within a wide range — at elevated levels. Basis volatility, which had risen sharply in March at the start of the Middle East conflict, has been on a declining trend over the past 2–3 weeks, consistent with the fragile ceasefire remaining broadly intact (**Figure 2**). In our view, the prevailing risk-on sentiment — underpinned by solid equity market performance — has also contributed to the retracement of the €STR/SOFR basis from its early-April wides. The basis curve has steepened modestly since our last publication in late January.

Figure 1: The ongoing Middle-East conflict has driven €STR/SOFR basis volatility over the past few weeks

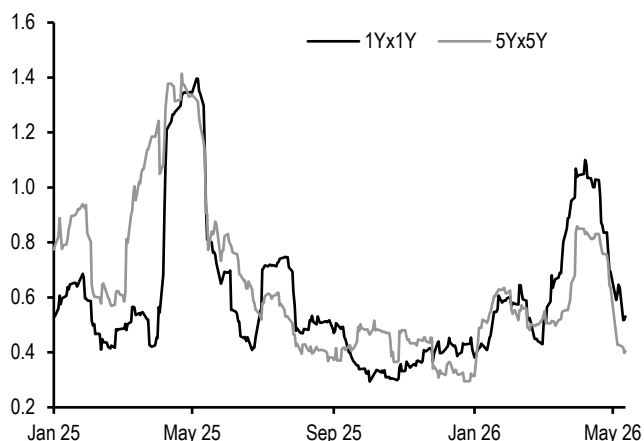
1Yx1Y €STR/SOFR basis (lhs, bp) versus Brent futures price (rhs, inverted axis, \$/bbl)



Source: J.P. Morgan.

Figure 2: Basis volatility has declined over the last few weeks

Rolling 1M SD of 1Yx1Y and 5Yx5Y €STR/SOFR basis; since 1 Jan 2025; bp/day



Source: J.P. Morgan.

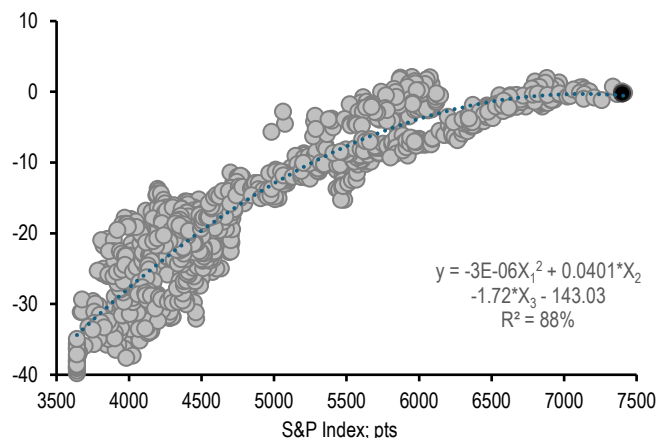
Our standard framework for modelling front-end bases incorporates fundamental drivers, namely €STR/SOFR interest rate differentials and Fed/ECB balance sheet differentials, alongside technical factors such as changes in US T-bill supply, as well as a risky asset factor. In recent publications, we have flagged a progressive weakening in the explanatory power of both the interest rate and balance sheet differential variables, as idiosyncratic and technical factors have increasingly dominated basis dynamics. This pattern has persisted: the empirical betas on these variables remain statistically insignificant and unstable, and we therefore exclude them from our current model specification, while acknowledging that they may continue to generate episodic volatility in the basis.

Our revised model is parsimonious, retaining only the S&P 500 index as a risky asset factor and the 3-month change in US T-bills outstanding to capture funding dynamics, with a one-off adjustment for the onset of the US/Israel-Iran war in late February 2026. Employing a quadratic specification for the S&P index, the model explains approximately 90% of total basis variance over the past four years. On this basis, the €STR/SOFR basis currently screens as broadly fair value (**Figure 3**). We also highlight that this framework suggests that front-

end basis are likely to remain in tight ranges as it would require a large sell-off in equity for basis to widen significantly from here.

Figure 3: 1Yx1Y €STR/SOFR basis appears broadly fair in our revised framework

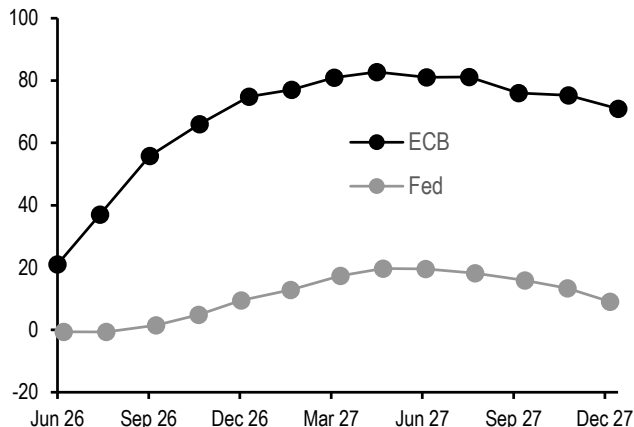
1Yx1Y €STR/SOFR basis regressed against 1) S&P futures (X_1), 2) 6M change in US T-bills outstanding (X_2), and 3) US/Israel-Iran war dummy (X_3); past 4Y; bp



Source: J.P. Morgan.

Figure 4: We find market pricing of Fed expectations to be broadly fair whereas the ECB pricing is close to the upper end of our expected range; a correction of this dynamic would exert some widening bias on the basis

Cumulative hikes priced by SOFR and €STR curve; bp



Source: J.P. Morgan.

Looking ahead, the evolution of the Middle East conflict and energy prices is expected to remain the primary short-term driver of the €STR/SOFR basis, transmitting through the energy sector and risk channel in our model. Given the inherent uncertainty surrounding the geopolitical outlook over the coming weeks, we do not express a strong directional view predicated on this factor alone.

Beyond geopolitics, we see a number of fundamental and technical factors that will continue to influence the basis, even if not all are captured in our current fair value framework. On the rates side, while the SOFR money market curve appears broadly fair and is pricing a cumulative hike of approximately 20bp by mid-2027 versus our forecast of 25bp in 1H27, the €STR curve is priced towards the upper end of our expected range, with approximately 75bp of cumulative hikes priced by end-2026 against our forecast of 50bp. The risk-reward from this channel therefore skews towards a modest *widening* of the basis (**Figure 4**).

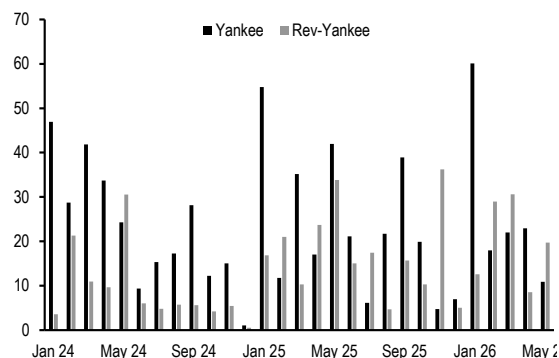
Conversely, the evolution of central bank balance sheets continues to provide a modest *narrowing* impulse. While ECB quantitative tightening remains on autopilot, the Fed is expected to continue its T-bill purchase programme over the coming months (see USD section), which should provide some offset to widening pressures.

Cross-border issuance dynamics, and Reverse Yankee supply in particular, are likely to be a key technical driver of the basis curve over the near term. Reverse Yankee issuance has risen sharply in recent months; our estimates suggest that volumes exceeded Yankee issuance in both February and March, and May is tracking well ahead of the comparable period (**Figure 5**). We attribute this surge to a confluence of factors: materially cheaper all-in funding costs in Europe relative to the US (**Figure 6**), growing issuer appetite to hedge currency and trade policy risk, and strong structural demand from European credit investors. Notably, large US multinationals with significant European operations, including Alphabet and Amazon, have been among the most active issuers this year (**Figure 7**). We expect these conditions to remain broadly supportive of elevated Reverse Yankee supply, which in turn

should provide a sustained technical bid for basis widening in the intermediate sector of the cross currency basis curve. The principal near-term risk to this view is seasonal: issuance volumes typically soften heading into the summer, with Reverse Yankee supply historically exhibiting a more pronounced seasonal decline than Yankee issuance (**Figure 8**).

Figure 5: Reverse Yankee issuance has risen sharply in recent months; our estimates suggest that volumes exceeded Yankee issuance in both February and March, and May is tracking well ahead of the comparable period

Monthly Yankee and Reverse-yankee issuances; since Jan 2025; \$bn



Source: Dealogic & J.P.Morgan.

Figure 6: It is cheaper to issue in EUR compared to USD currently

Relative-difference (for all-in cost) for issuers to issue in EUR versus USD; bp

	Maturity bucket				Ratings		
	0-3	3-6	6-10	10+	AA	A	BBB
Unadj. USD - EUR	7	6	9	16	5	7	9
Xccy	-2	-3	-4	-4	-3	-3	-3
Adj USD - EUR	6	3	6	12	1	3	6
Cheaper to issue in	EUR	EUR	EUR	EUR	EUR	EUR	EUR

Source: J.P. Morgan.

Figure 7: Large US multi-nationals have been amongst the big issuers in Euro in 2026

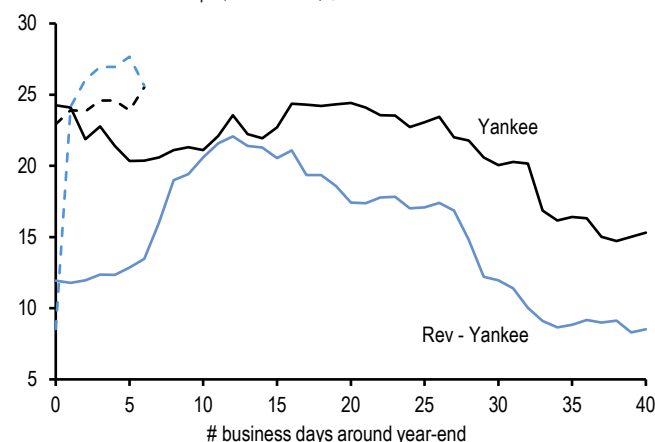
Total EUR denominated bond issuance by a select US multi-nationals in 2026; \$bn

Company Parent	Total Tranche Value	# of Tranches
Amazon.com	16.9	8
Alphabet Inc	10.5	6
Goldman Sachs Group Inc	10.0	5
Morgan Stanley	5.8	3
Danaher	3.5	4
NextEra Energy Inc	3.6	4
Baker Hughes Co	3.5	4
IBM	4.2	4
Verizon Communications Inc	2.7	1

Source: J.P. Morgan & Dealogic.

Figure 8: Near-term seasonality is a tactical risk to our overall issuance driven widening view

Current versus historical averages of rolling 1M MA of Yankee and Reverse-Yankee issuances around end-April; since 2016; \$bn



Source: J.P. Morgan & Dealogic.

On balance, we maintain a **modest widening bias** in the intermediate sector of the €STR/SOFR curve. For example, 3Yx1Y and 5Yx5Y bases are close to the upper end of its recent range and we believe the risk-reward profile favours basis wideners from current levels, with asymmetric upside should any of the above drivers — rates repricing, sustained Reverse Yankee supply, or a geopolitical escalation — materialise.

GBP/USD

Neutral 1Yx1Y SONIA/SOFR basis with valuations fair

Since our last publication at the end of January, SONIA/SOFR basis has widened across the curve into the start of the Middle East conflict and has subsequently narrowed back, with bases across the curve generally close to their average levels for the past 3M, and 30Y cross-currency basis a couple of bp narrower than the 3M average (**Figure 1**). SONIA/SOFR basis volatility spiked higher at the start of the conflict, although not as much as seen last April following the initial US tariff announcements, but has fallen back close to its historical lows (**Figure 2**).

Figure 1: SONIA/SOFR basis is close to its average levels for the past 3M but has traded in a relatively wide range given the onset of the Middle East conflict

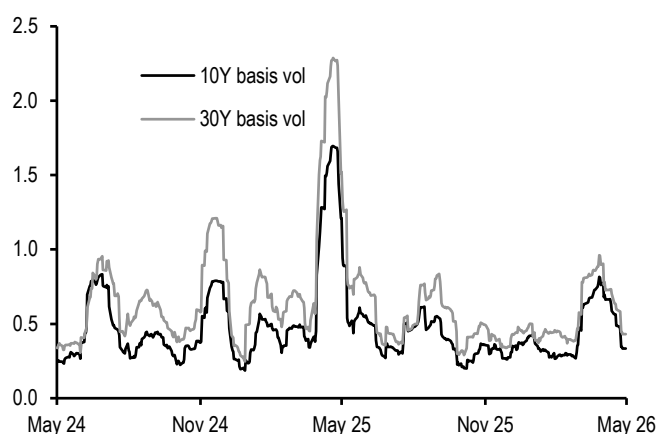
GBP/USD SONIA/SOFR FX basis current levels, statistics over the past 3M and change from min, bp

	SONIA/SOFR			
	1Y	5Y	10Y	30Y
14-May-26	3	1	-3	-20
Min	1	-2	-6	-27
Max	6	4	0	-19
Avg.	3	1	-3	-22
Z-score	-0.5	-0.1	0.1	0.9
Change from min	1	3	4	7

Source: J.P. Morgan

Figure 2: SONIA/SOFR basis volatility spiked higher at the start of the Middle-East conflict but has fallen back close to its historical lows

Rolling 20D standard deviation of 1D changes in 10Y and 30Y SONIA/SOFR xccy basis, bp/day

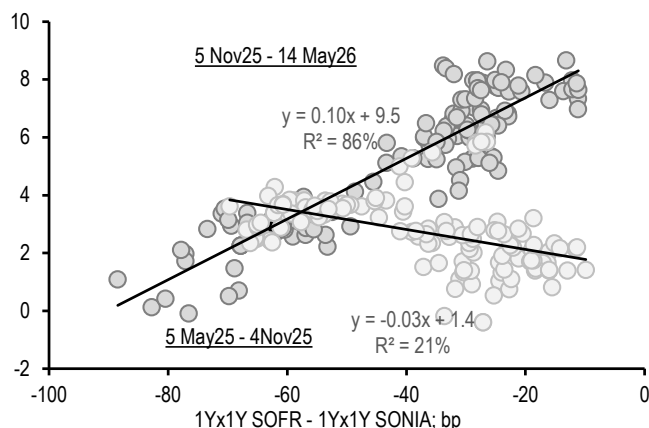


Source: J.P. Morgan

1Yx1Y SONIA/SOFR basis widened around 5bp from the start of the conflict until late March, with levels touching 0bp before modestly retracing a few bp narrower, but not back to pre-conflict levels. 1Yx1Y SONIA/SOFR has exhibited increased positive directionality with 1Yx1Y SOFR - 1Yx1T SONIA spread given the large repricing in BoE rate hike expectations since early March and currently looks broadly fair value on a regression basis (**Figure 3**). In the near term, we expect that relative Fed vs. BoE rate expectations will continue to drive 1Yx1Y SONIA/SOFR basis.

Figure 3: 1Yx1Y SONIA/SOFR basis has exhibited increased positive directionality with 1Yx1Y SOFR-SONIA spread over the past few months

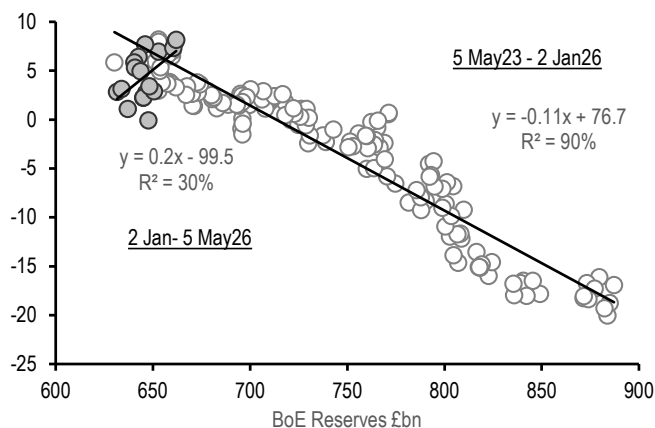
1Yx1Y SONIA/SOFR FX basis regressed against 1Yx1Y SOFR - 1Yx1Y SONIA spread; past 12M, bp



Source: J.P. Morgan

Figure 4: Recently, the relationship between 1Yx1Y SONIA/SOFR basis and the size of BoE reserve balances has weakened substantially

1Yx1Y SONIA/SOFR basis regressed against BoE reserve balance; weekly data; since May23, bp



Source: J.P. Morgan, BoE

The size of the BoE's balance sheet has continued to decline, reflecting APF gilt redemptions, active QT sales and TFSME redemptions. 1Yx1Y SONIA/SOFR basis has exhibited a decent negative directionality vs. the size of BoE reserves over the past couple of years until early this year, but we note that this directionality has substantially weakened (**Figure 4**) given the relative repricing of BoE and Fed rate expectations. For now, we expect the ongoing decline in the stock of BoE reserves to have limited impact on 1Yx1Y SONIA/SOFR basis.

BoE reserve balances have fallen by around £20bn since the start of this year to around £630bn, although the pace of decline has slowed over the past few months given the ongoing increase in participation in the BoE's STR and ILTR facilities, with total STR and ILTR usage around £167bn (as of early May). As reserves decline further, they will eventually stabilise around the PMRR (Preferred Minimum Range of Reserves). This is currently estimated by the BoE as £385-540bn and as the level of reserves continues its decline towards the top of the PMRR range then increased usage of BoE repo-facilities should limit a further linear decline in reserves and also prevent further narrowing of the front-end basis. **We stay neutral on a 1Yx1Y SONIA/SOFR basis.**

Figure 5: 10Y SONIA/SOFR basis remains strongly positively directional with 1Yx1Y basis and looks modestly too narrow on a regression basis

10Y SONIA/SOFR basis regressed against 1Yx1Y SONIA/SOFR basis; past 6M, bp

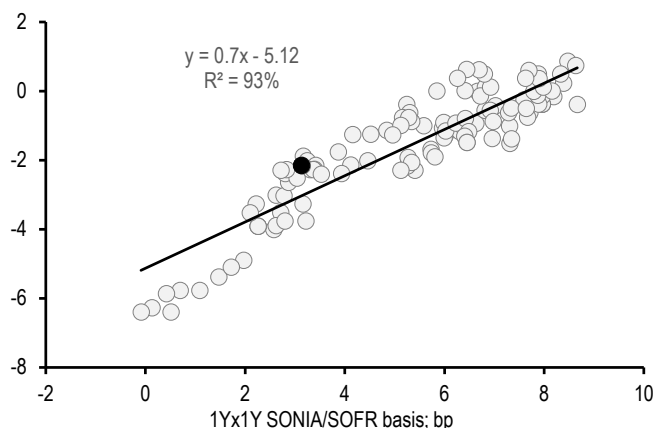
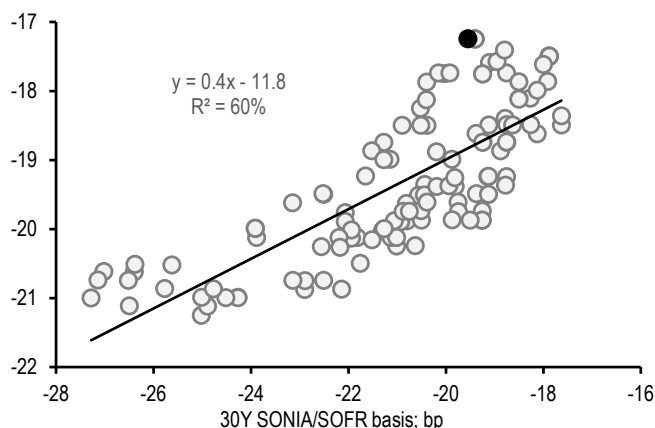


Figure 6: The 10s/30s SONIA/SOFR basis exhibits positive directionality with 30Y SONIA/SOFR basis and looks too steep on a relative basis

10Y/30Y SONIA/SOFR basis curve regressed against 30Y SONIA/SOFR basis; past 6M, bp



Further out the curve, 10Y SONIA/SOFR basis has continued to exhibit strong positive directionality with 1Yx1Y SONIA/SOFR basis over the past months and looks modestly too narrow on a 6M regression basis (**Figure 5**). GBP-denominated issuance by US and EUR corporate issuers has been relatively light since the start of the Middle East conflict, although empirically this factor has limited power in explaining moves in 10Y SONIA/SOFR cross-currency basis in a regression framework.

Broadly speaking, the 10s/30s SONIA/SOFR cross-currency has exhibited positive directionality with 30Y SONIA/SOFR basis over the past few months and looks a few bp too steep on a 6M regression basis (**Figure 6**). This is unlikely to be related to any BPA activity as BPA transactions have typically resulted in periods of episodic relative widening of 30Y basis vs. 10Y basis and put flattening pressure on the 10s/30s SONIA/SOFR basis curve.

USD/JPY

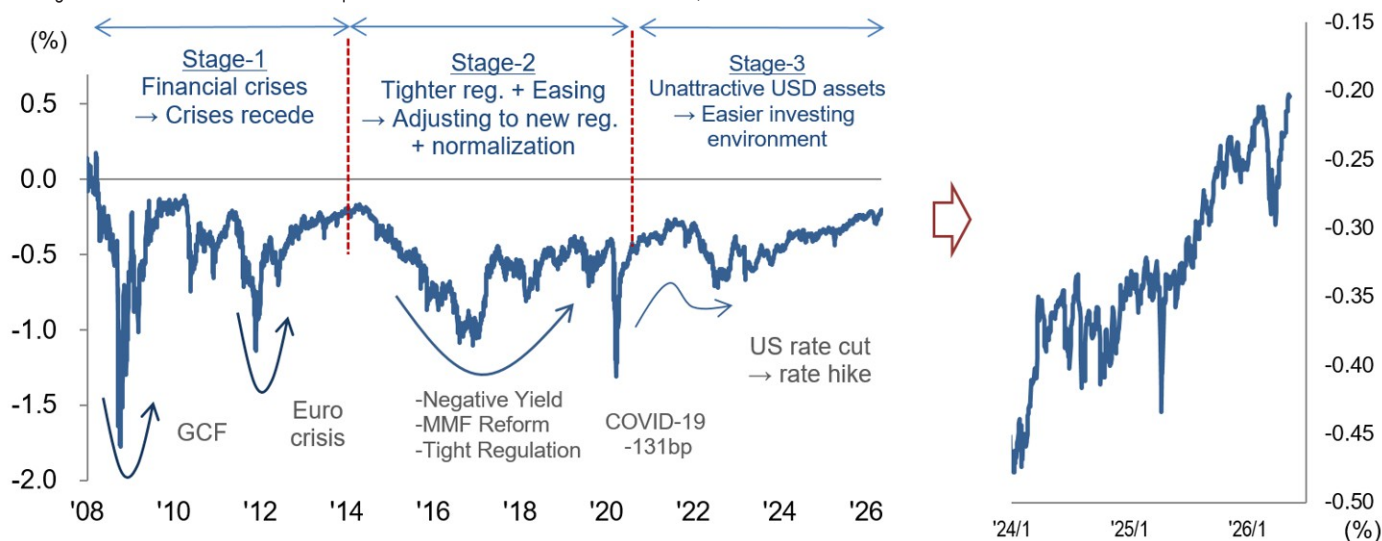
Stable in the short term, but widening pressure could emerge, especially in the mid-to-long term sector

Review of the USD/JPY x-ccy basis market

In March, as Middle East tensions escalated, credit spreads in the USD short-term funding market (such as CP) widened slightly, and the USD/JPY x-ccy basis (1-year) also widened to around -30bp. However, the market soon stabilized, and the negative basis narrowed to around -20bp (see **Figure 1**). Since 4Q last year, concerns about USD funding needs related to the US-Japan \$550bn investment initiative have kept the 5–10 year x-ccy basis curve flat, with the 10-year basis remaining deeply negative. While the actual pace and amount of USD funding for the US-Japan initiative remain uncertain, we expect the flat curve to persist for the time being (see **Figure 2** and **Figure 3**).

Figure 1: 1Y USD/JPY x-ccy basis (SOFR/TONAR) (%)

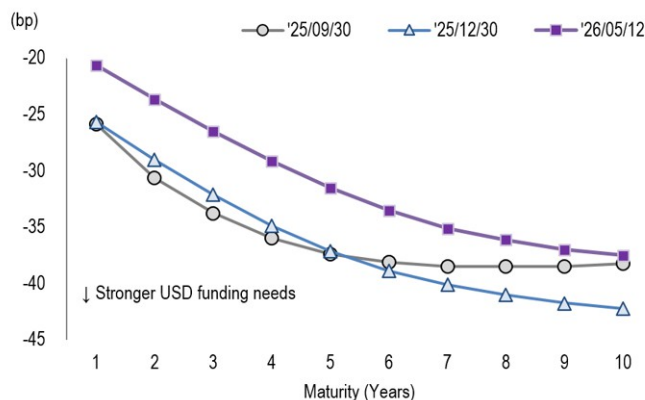
The negative basis widened to around -30bp in March as Middle East tensions escalated, but has since stabilized.



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 2: USD/JPY x-ccy basis curve

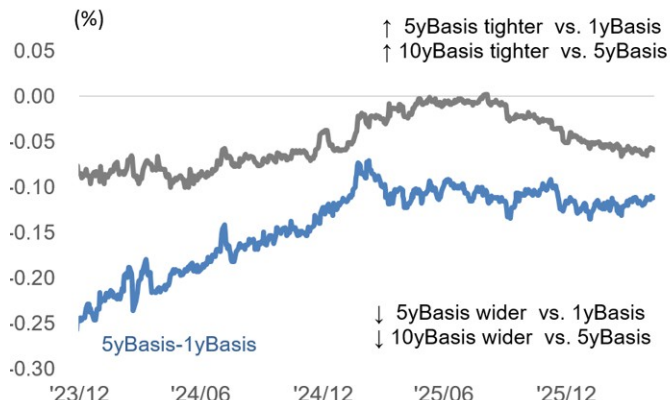
The negative basis widened in the mid-to-long term towards year-end, but has narrowed in parallel since the start of the year.



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 3: 1s/5s and 5s/10s USD/JPY x-ccy basis curve

Since 4Q last year, the 5–10 year curve has remained flat.



Source: J.P. Morgan, Bloomberg Finance L.P.

Key Points for the USD/JPY x-ccy Basis Market Going Forward

Key Point 1: USD Funding for US-Japan Investment Initiative Set to Begin

Looking at the progress of US-Japan investment projects, the first batch of three projects was selected on February 18: the Synthetic Diamond Manufacturing and Sales Project in the United States, the Crude Oil Transportation and Export Infrastructure Project in the United States, and the Natural Gas Generation Project in the United States, with a total estimated investment amount of \$36bn. On March 19, a second batch of three projects was announced, including the Construction of SMRs by GE Vernova Hitachi in Tennessee and Alabama, and the Construction of Natural Gas Generation Facilities in Pennsylvania and Texas, with a total estimated investment amount of up to \$73bn. For the first batch, it was reported by JIJI Press and other media on May 1 that an initial loan of approximately \$2.2bn (about 6% of the total, see **Figure 4**) would be provided jointly by government-affiliated and private financial institutions. However, the detailed lending schedule for the remainder of the first batch and for the second batch has not been disclosed.

The scale of this initial loan is small and is unlikely to have a major impact on the USD funding market. However, if the pace of USD funding accelerates as these projects progress, there could be widening pressure on the negative basis in the mid-to-long term sector (5–10 years), and some pressure even in the short-term sector (1 year). Most of the USD funding needs through the cross-currency basis market are expected to come from a portion of the USD funding by government-affiliated financial institutions and from contributions by Japanese mega banks, but the actual schedule and details remain difficult to ascertain. Nevertheless, we expect the impact on the USD funding market to grow over time as these projects move forward.

Figure 4: Announced Loans for the First Round of US-Japan Investment Projects

First batch of projects announced on February 18		Est Total Inv Amount	USD, million First Total Co-financing
SPV: Japan Invest 1 LLC (JI1)	Synthetic Diamond Manufacturing and Sales Project in United States	600	23
SPV: Japan Invest 2 LLC (JI2)	Crude Oil Transportation and Export Infrastructure Project in United States	2,100	313
SPV: Japan Invest 3 LLC (JI3)	Natural Gas Generation Project in United States	33,300	1,885
First-batch Total		36,000	2,221

Second batch of projects announced on March 19		Est Total Inv Amount
SPV XXX	Construction of SMRs by GE Vernova Hitachi in Tennessee and Alabama	40,000
SPV XXX	Construction of Natural Gas Generation facilities in Pennsylvania	17,000
SPV XXX	Construction of Natural Gas Generation facilities in Texas	16,000
Second-batch Total		73,000

Source: JJI PRESS, Ministry of Economy Trade and Industry, J.P. Morgan

Key Point 2: Other USD Funding Needs Unlikely to Be Major Drivers

While Samurai bond issuance may increase somewhat, we do not expect a significant change in the overall USD funding environment for Japanese entities. Outside of the \$550bn project, other USD funding needs are unlikely to become a major market driver.

USD Funding via Samurai Bond Issuance:

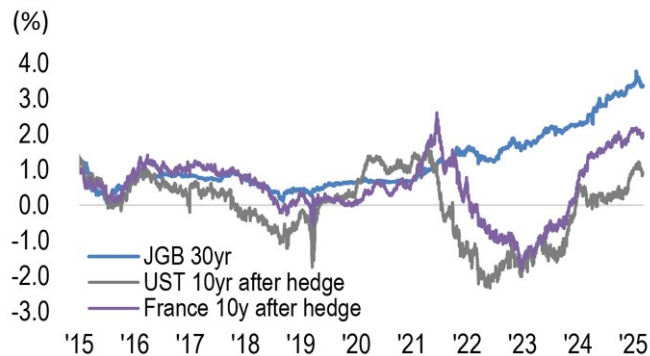
US tech companies are accelerating fundraising for AI investments, and on May 11, Nikkei reported that Google is planning to issue yen-denominated bonds worth several hundred billion yen. Proceeds from Samurai bonds are expected to be converted into USD, so continued Samurai issuance could put widening pressure on the negative basis, mainly in the mid-term sector. However, as discussed later, the volume of Yankee bond issuance is much larger and more volatile than that of Samurai bonds, so Samurai issuance is unlikely to be a major driver of the USD/JPY x-ccy basis market.

USD Funding for Securities Investments by Japanese Banks and Lifers:

Japanese banks mainly use repo funding when purchasing US Treasuries and MBS, so there is no impact on the USD/JPY x-ccy basis market. The latest BoJ Financial System Report notes that some financial institutions have increased CLO holdings through preemptive investments for carry and to prepare for increased prepayments, but overall, overseas credit investment by financial institutions remains subdued. For CLO investments, repo funding or relatively short-term cross-currency swaps are often used, but since CLO balances are not rapidly increasing, the impact on the USD/JPY x-ccy basis market should be limited. In the lifer sector, there are no [plans](#) to significantly increase allocations to FX-hedged foreign bonds via FX forwards or cross-currency basis swaps (see **Figure 5** and **Figure 6**).

Figure 5: Super-Long JGBs vs FX-hedged foreign bonds

FX-Hedged Foreign Bonds Offer Less Yield Advantage Compared to Super-Long JGBs



Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 6: FY26 Investment Plans of Japanese Lifers

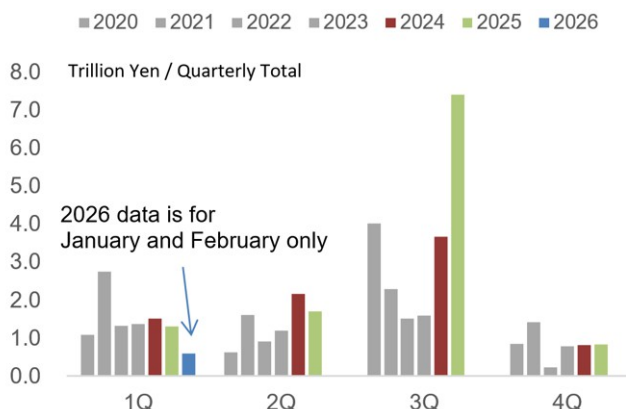
	JGB	Foreign bonds		Domestic Stocks	Foreign Stocks
		FX Hedged	FX		
Nippon Life	Decrease (Low cpn clean-up)	Increase (Add floating rate)	Flat	Decrease	Increase (Alternatives)
Daiichi Life	Flat (Mainly reshuffling)	Slight increase	Decrease	Decrease	Flat (Increase Alts)
Meiji Yasuda Life	Increase	Flat		Increase	Increase (Mainly PE)
Sumitomo Life	Decrease	Increase (Add floating rate)	Decrease	Increase	Increase (Alternatives)
Taiju Life	Flat (Mainly reshuffling)	Flat	Decrease	Flat	Flat (Increase Alts)
Taiyo Life	Increase	Flat		Decrease	
Daido Life	Increase (+JPY200bn)	Decrease		Decrease	Decrease (Increase Alts)
Asahi Life	Decrease total -JPY 65bn	Decrease		Decrease	Flat (Increase Alts)
Fukoku Life	Increase	Keep Zero	Decrease	Flat (Increase Alts)	
Japan Post Insurance	Flat (Mainly reshuffling)	Decrease	Decrease	Decrease	Flat (Increase Alts)

Source: Bloomberg Finance L.P., Reuters, J.P. Morgan.

Key Point 3: Continued Focus on Yankee Bond Issuance

Yankee bond issuance by Japanese companies reached a record high of JPY 11.3tn in 2025 (see **Figure 7**). Historically, Yankee bond issuance tends to increase after the fiscal year-end, with large volumes recorded in June–July (JPY 2.3tn in July 2024 and JPY 5.6tn in July 2025). While some of this issuance is for overseas business expansion, more companies are issuing large amounts of USD bonds in the liquid US market and converting the proceeds into yen. If high levels of Yankee bond issuance continue, this could put tightening pressure on the negative basis in the mid-to-long term sector. However, recent data do not indicate a surge in Yankee issuance, so the impact on the USD/JPY x-ccy basis market is expected to remain limited.

Figure 7: Non-Deposit Institutions' Foreign Bond Issuance May Increase Again In June-July



Source: BoJ, J.P. Morgan.

Key Point 4: Fiscal Policy in Focus in June—A Cautious Stance Is Warranted

The “Basic Policies for Economic and Fiscal Management and Reform,” which will serve as the foundation of the Takaichi administration’s responsible and proactive fiscal policy, is expected to be announced in June as usual. For the next fiscal year, the government is currently setting policy priorities, focusing on 17 key growth strategy areas as well as increased defense spending, energy subsidies, tax credits with benefits, and a temporary consumption tax cut on food. At the same time, these priorities must be determined with the understanding that higher interest payments and rising social security costs are largely unavoidable.

A “zero consumption tax rate on food” policy is being considered as a temporary measure until the introduction of tax credits with benefits, and eight working-level meetings have been held to discuss related issues. While further discussions are planned, the market views a consumption tax cut negatively, and there are concerns that system changes would take about a year to implement, making it a costly and time-consuming bridge measure. However, since the consumption tax cut was once a campaign pledge, it is difficult for Prime Minister Takaichi to withdraw it easily, and there is still no clear market consensus on whether it will be implemented. The direction of future discussions on the consumption tax cut will need to be closely watched.

During the lower house election period in late January, when the consumption tax cut debate intensified, an S&P sovereign rating analyst told Bloomberg that “a consumption tax cut is not a one-off measure and would lower government revenues on a sustained basis,” and that “with rising expenditure, if economic and revenue growth slow, the fiscal situation would worsen further.” While we do not see an imminent risk of a downgrade, if major rating agencies were to downgrade Japanese government bonds, foreign investors could reduce their JGB\$ASW holdings and US banks could scale back market-making in the USD/JPY x-ccy basis market. While this is not our main scenario, it is a risk that warrants attention as fiscal policy discussions progress.

USD/JPY x-ccy Basis Market Outlook (Summary)

In the short term, the main focus for the basis market will be developments in the USD short-term funding market (such as \$CP), especially in light of Middle East tensions. However, the market has already largely digested the impact of these tensions, and even if the global economy slips into a mild recession, we expect the impact on the USD short-term

funding market to be limited. In the near term, we expect movements in the USD/JPY x-ccy basis market to remain contained.

Over the medium term, however, we see a greater likelihood of widening pressure across the curve. While USD funding for the US-Japan investment initiative has not yet fully materialized, the pace could accelerate as projects are finalized. Depending on the nature of the projects, if USD funding is raised in the mid-to-long term, the negative basis could widen, especially in those sectors. On the other hand, while Yankee bond issuance by Japanese companies could surge again after the announcement of full-year results, the pace has slowed compared to last year, so we do not expect this to be a major tightening factor for the basis. In June, the announcement of the Basic Policies and a possible consumption tax cut could heighten fiscal policy concerns, increase downgrade risk, and lead to a wider negative basis. While we do not see an imminent risk of a downgrade, it is a risk that should be kept in mind.

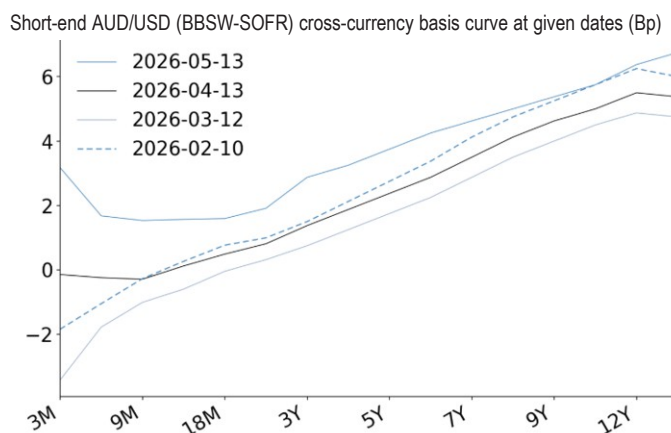
AUD/USD

Some signs of tightening

The AUD/USD cross-currency basis (BBSW-SOFR) curve has flattened of late with a surprising tightening in front-end conditions (**Figure 1**). Idiosyncratic RBA hawkishness this year leaves policy spreads to US at a near-decade wide. With the AUD OIS curve still upward-sloping through the whites, term premium effects have helped AUD/USD FX-OIS grind narrower/higher from 1m-3m, through the 1Y sector (**Figure 2**). Still, the magnitude is somewhat greater than expected.

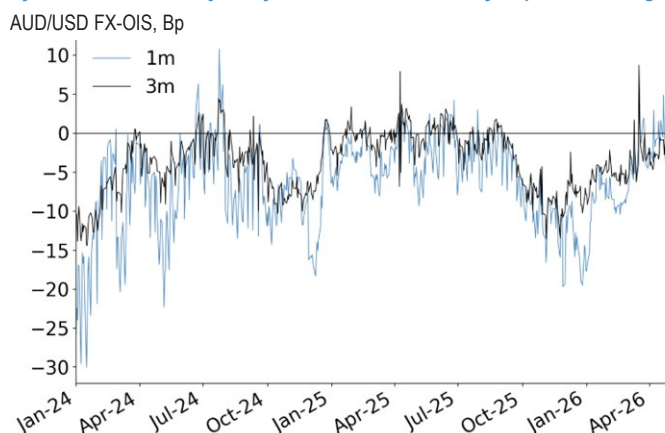
6m BBSW-SOFR for example is still around 3-5bp tight on regression to the first principal component of other G10 6m bases (EUR, JPY, GBP), even with surplus ES balances (AUD excess reserves) having moved higher in recent months. Moreover, most recent information on FX/equity flows (super fund reporting/media commentary, and AUD FX spot performance) suggests a trend to greater FX hedging, and so receive-side activity from foreign asset owners back to AUD, which should be anchoring the sub-6m point.

Figure 1: The BBBSW-SOFR curve has moved higher and flatter in recent months



Source: J.P. Morgan.

Figure 2: AUD/USD FX-OIS is tighter, overshooting what would be implied by the ES balance trajectory and more motivated by super fund hedging



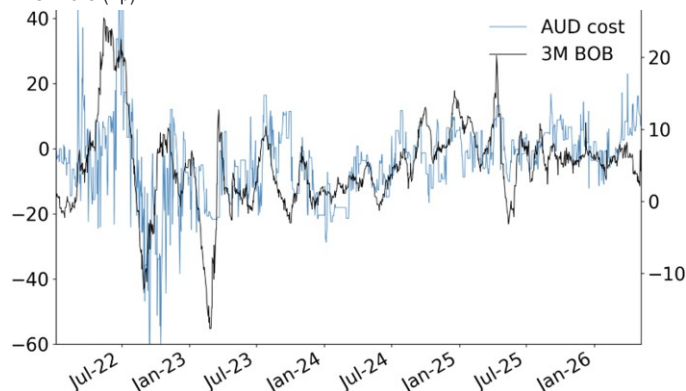
Source: J.P. Morgan.

We suspect that a short-term imbalance has arisen between hedging/receiving activity by local owners of foreign assets, and domestic banks, which tend to be the payside in the front end of the curve. Short-term USD issuance by Australian banks has continued at relatively solid levels despite not being particularly attractive on an FX-hedged basis (**Figure 3** and **Figure 4**), particularly given the now-weaker medium-term outlook for the housing market and bank asset growth.

With the global oil supply shock still unresolved, risks of a broad trade and liquidity problem are rising by the week, such that banks may be attempting to lock in funding (even if at unattractive levels) in case there is a window where markets are inaccessible. It's also possible that super funds are exacerbating any initial imbalance by terming out hedges to longer tenors given growing regulatory concerns around funds' liquidity management in short-term hedges.

Figure 3: Australian banks' all-in cost of USD CP issuance is elevated relative to domestic bill rates

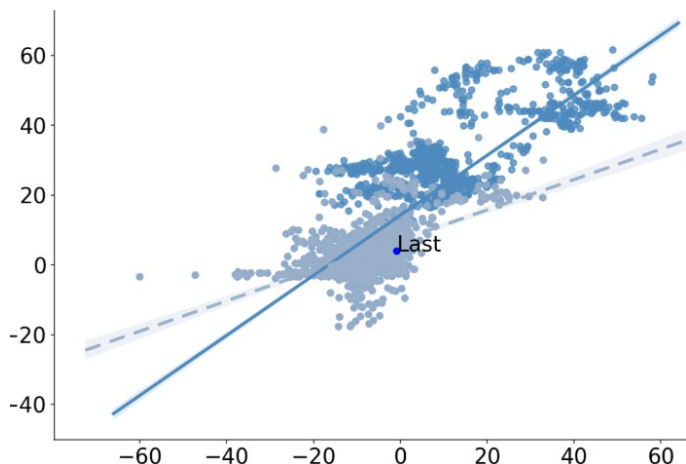
LHS: Foreign bank 3M US CP issuance spread, AUD FX-hedged (Bp); RHS: AUD 3M BBSW-OIS (Bp)



Source: J.P. Morgan.

Figure 4: Domestic bill spreads are narrow compared to the historical relationship with AUD FX-OIS

X axis: AUD/USD 3M FX-OIS (Bp); Y axis: 3M BOB (BBSW-OIS) Bp

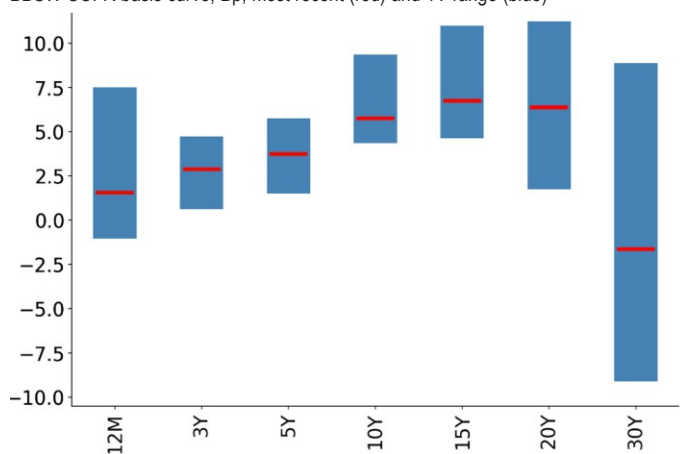


Source: J.P. Morgan.

In our view, the cross-currency basis curve should nevertheless steepen over time in buckets like 5s/10s, 10s/20s, 10s/30s, where the curve is somewhat flat to recent history (**Figure 5**). AUD excess reserves are due to fall to the AUD 110-125bn range by year-end. Though this is less than 25% of the peak level from 2022, on our estimates (see “[Reserve Judgement](#)”), that level of liquidity is still above the pinch point where the reserve demand curve steepens, in that the repo-IOER spread – when fitted to expected reserve levels at Dec-26 – is slightly short of the RBA’s repo backstop (cash target +10bp = ES rate+20bp). This should keep shorter tenors well-anchored.

Figure 5: The BBSW-SOFR curve from 10Y and beyond are generally on the wider end of the range

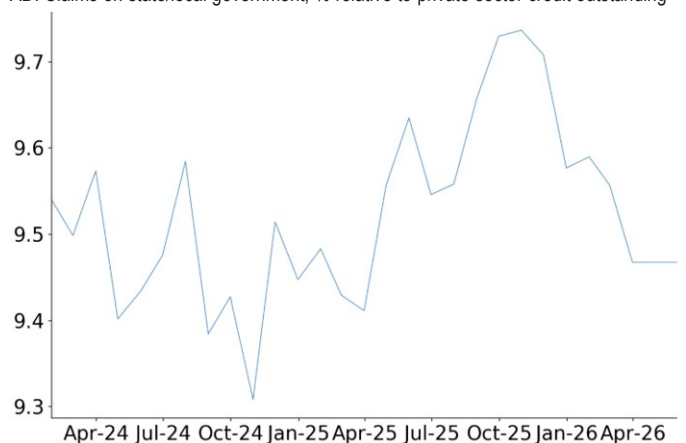
BBSW-SOFR basis curve, Bp, most recent (red) and 1Y range (blue)



Source: J.P. Morgan.

Figure 6: The ratio of AUD bank semi-government holdings to loan assets has held steady in recent years

ADI Claims on state/local government, % relative to private sector credit outstanding



Source: RBA, J.P. Morgan.

Meanwhile, the outlook for term foreign currency issuance by Australian entities has changed sharply since the beginning of the year. We had entered 2026 with high expectations for domestic bank credit (mortgage) growth, but a more hawkish RBA has notably weakened housing activity. Banks are then unlikely to be issuing as much in the typical 4-7Y

bucket to fund loan growth. They will also be less motivated buyers of domestic HQLA, weakening local demand for semi (state) government paper.

Having held a relatively stable ratio of semi-government paper to loan assets over the last couple of years (**Figure 6**), a marginal pull-back in bank demand for the latter makes foreign issuance by state governments more likely. EUR and USD markets are most likely to be tapped in longer tenors (>12Y), where the local demand base tends to be thinner. This suggests maintaining a payside bias into any widening in longer tenors.

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Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc
Khagendra Gupta (44-20) 7134-0486
khagendra.x.gupta@jpmorgan.com
J.P. Morgan Securities plc

Takafumi Yamawaki (81-3) 6736-1748
takafumi.yamawaki@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.
Ipek Ozil (1-212) 834-2305
ipek.ozil@jpmorgan.com
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Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc
Khagendra Gupta (44-20) 7134-0486
khagendra.x.gupta@jpmorgan.com
J.P. Morgan Securities plc

Takafumi Yamawaki (81-3) 6736-1748
takafumi.yamawaki@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.
Ipek Ozil (1-212) 834-2305
ipek.ozil@jpmorgan.com
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